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The following are the steps to be followed to locate errors before preparing trial balance:

(i)	Scrutiny of entries made in the journal proper
(ii)	Scrutiny of entries made in the subsidiary books
(iii)	Checking the totals of the subsidiary books
(iv)	Scrutiny of postings made to the ledger accounts
(v)	Scrutiny of balancing of ledger accounts

The errors located at this stage are rectified by debiting or crediting the relevant accounts in the books.

9.6.2. Location of errors after the preparation of trial balance

While preparing trial balance, if it does not tally, it is an indication of presence of errors in the books of accounts. The difference in trial balance is transferred to suspense account and then errors are to be located and rectified.

The following are the steps to be followed to locate errors after preparing trial balance:

(i)	The totals of debit and credit columns of trial balance are to be checked.
(ii)	The balances of various ledger accounts shown in the trial balance are to be checked to ensure whether they are shown in the respective columns (debit or credit).
(iii)	The difference in the trial balance must be halved and compared with balances of ledger to verify whether any ledger balance is recorded on the wrong side of the trial balance.
(iv)	The totals of all the subsidiary books are to be checked, especially if the difference is ` 1, ` 100 etc.
(v)	If the difference is divisible by '9', the difference may be due to transposition of figures in the books. (Writing ` 127 as ` 172). Hence, the possibilities of transposition of figures shall be checked.
(vi)	The accounts of all the creditors and debtors are to be verified.
(vii)	Postings from the subsidiary books to different accounts in the ledger are to be checked.
(viii)	The correctness of the balances of various ledger accounts is to be ensured.
(ix)	All the amounts carried forward from one page to the next are to be verified.
(x)	If the difference still exists, as a final step all the entries in the journals should be verified.



Student activity

Think: Is it possible to prepare final accounts, even when the trial balance does not tally?